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Reserve Bank of India (Local Area Banks – Priority Sector Lending – Targets and Classification) Directions, 2026

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In exercise of the powers conferred by Sections 21 and 35A read with Section 56 of the Banking Regulation Act, 1949, the Reserve Bank of India, being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

Chapter I: Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Local Area Banks – Priority Sector Lending – Targets and Classification) Directions, 2026.
2. These Directions shall come into force with immediate effect.

B. Objective

3. The extant Directions are issued with a view to delineating a framework for ensuring adequate flow of credit from the banking system to the sectors of the economy which are crucial for their contribution to socio-economic development, with focus on specific segments whose credit needs remain underserved despite being credit worthy.

C. Applicability

4. The provisions of these Directions shall be applicable to Local Area Banks (hereinafter collectively referred to as 'banks' and individually as a 'bank').

D. Definitions/Clarifications

5. In these Directions, unless the context otherwise requires, the terms herein shall bear the meanings assigned to them below:

(i) Allied activities i.e. activities allied to agriculture shall include dairy, fisheries, animal husbandry, poultry, bee-keeping, sericulture and similar activities.

(ii) Non-Corporate Farmers (NCF) shall include individual farmers including Small and Marginal Farmers (SMFs) (as per paragraph 21 of this MD), proprietorship firms of farmers directly engaged in agriculture and allied activities, and Self-Help Groups (SHGs) or Joint Liability Groups (JLGs) i.e., group of individual farmers, provided banks maintain disaggregated data of such loans.

(iii) On-lending shall mean loans sanctioned by banks to eligible intermediaries for onward lending. Such loans, extended for creation of priority sector assets and which remain deployed in such assets, will be eligible for classification under PSL.

6. All other expressions, unless defined herein, shall have the same meaning as has been assigned to them under the Banking Regulation Act, 1949 or the Reserve Bank of India Act, 1934 or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

7. All loans categorised as Priority Sector Lending (PSL) under the erstwhile Master Directions on PSL shall continue to be eligible for such categorisation till maturity.

Chapter II: Categories and Targets Under Priority Sector

A. Categories under Priority Sector

8. The categories under priority sector are as follows:

i. Agriculture
ii. Micro, Small and Medium Enterprises
iii. Education
iv. Housing
v. Social Infrastructure
vi. Renewable Energy
vii. Others

The details of eligible activities under the above categories are specified in Chapter III.

B. Computation of Adjusted Net Bank Credit (ANBC)

9. For the purpose of priority sector lending, ANBC shall be computed as follows:

Bank Credit in India [as prescribed in item No.VI of Form `A' under Section 42(2) of the RBI Act, 1934]	I
Bills rediscounted with RBI and other approved Financial Institutions	II
Net Bank Credit (NBC)	III(I-II)
Outstanding Deposits with DFIs viz., NABARD, SIDBI, MUDRA & NHB on account of PSL shortfall + net outstanding PSLCs	IV
Other investments eligible to be treated as priority sector	V
Bonds/debentures in Non-SLR categories under HTM category	VI
ANBC	III + IV+V+VI

Explanation 1: The bills purchased/ discounted/ negotiated (payment to beneficiary not under reserve) under LC may be treated as interbank exposure only for the limited purpose of computing exposure and capital requirements. They shall not be excluded from the computation of 'bank credit in India' [as prescribed in item No.VI of Form 'A' under Section 42(2) of the RBI Act, 1934] which allows for exclusion of interbank advance. While exposure may be to the LC issuing bank, the bills purchased/discounted amount to bank credit to its borrower constituent. If this advance is eligible for priority sector classification, the bank can classify it as PSL. Banks have to take note of the above aspect while reporting Net Bank Credit in India as well as while computing the Adjusted Net Bank Credit for PSL targets and achievement.

Explanation 2: While calculating Net Bank Credit (for the purpose of priority sector computation only) as above, Banks shall not deduct / net any amount like provisions, accrued interest, etc. from NBC. If banks subtract prudential write off at Corporate/Head Office level, it shall be ensured that the credit to priority sector and all sub-sectors so written off shall also be subtracted category wise from priority sector target and sub-target achievement. Investments or any other items which are treated as eligible for classification under priority sector target/sub-target achievement, shall also form part of Adjusted Net Bank Credit.

Explanation 3: Net PSLCs outstanding in Item IV in the table above shall mean the aggregate value of PSLCs purchased minus PSLCs sold.

10. For the purpose of calculation of Credit Equivalent of Off-Balance Sheet Exposures (CEOBSE)/ credit risk exposure attached to off-balance sheet items, banks shall be guided by the Reserve Bank of India (Local Area Banks – Prudential Norms on Capital Adequacy) Directions, 2025.

Explanation: Contingent liabilities/off-balance sheet items do not form part of priority sector achievement. Further, off-balance sheet interbank exposures are excluded for computing CEOBSE for the priority sector targets.

11. All banks shall adhere to the respective licencing and operating guidelines issued by the Department of Regulation, RBI as updated from time to time.

C. Targets/Sub-targets for Priority sector

12. The targets and sub-targets set under priority sector lending, to be computed on the basis of the ANBC/CEOBSE as applicable as on the corresponding date of the preceding year, are as below:

Categories	Targets/Sub-targets
Total Priority Sector	40 percent of ANBC or CEOBSE, whichever is higher.
Agriculture	18 percent of ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for Non-Corporate Farmers (NCFs), out of which a target of 10 percent is prescribed for SMFs.
Micro Enterprises	7.5 percent of ANBC or CEOBSE, whichever is higher
Advances to Weaker Sections	12 percent of ANBC or CEOBSE, whichever is higher

Chapter III: Description of Eligible Categories under Priority Sector

A. Agriculture

13. The lending to agriculture sector will include Farm Credit (Agriculture and Allied Activities), lending for Agriculture Infrastructure and Ancillary Activities.

A.1 Farm Credit- Individual farmers

14. This category comprises of loans to individual farmers [including Self Help Groups (SHGs) or Joint Liability Groups (JLGs) i.e., groups of individual farmers, provided banks maintain disaggregated data of such loans] and proprietorship firms of farmers, directly engaged in agriculture and allied activities. Such loans will include:

(1) Crop loans including loans for traditional/non-traditional plantations, horticulture and allied activities

(2) Medium and long-term loans for agriculture and allied activities (e.g. purchase of agricultural implements and machinery and developmental loans for allied activities)

(3) Loans for pre and post-harvest activities viz., spraying, harvesting, grading and transporting of own farm produce

(4) Loans to distressed farmers indebted to non-institutional lenders

(5) Loans under the Kisan Credit Card Scheme

(6) Loans to small and marginal farmers (SMFs) for purchase of land for agricultural purposes

(7) Loans against pledge/hypothecation of agricultural produce (including warehouse receipts) for a period not exceeding 12 months subject to a limit up to ₹90 lakh against Negotiable Warehouse Receipt (NWRs)/Electronic Negotiable Warehouse Receipt (eNWRs) and up to ₹60 lakh against warehouse receipts other than NWRs/eNWRs

(8) Loans to farmers for installation of stand-alone solar agriculture pumps and for solarisation of grid connected agriculture pumps

(9) Loans to farmers for installation of solar power plants on barren/fallow land or in stilt fashion on agriculture land owned by farmer

A.2 Farm Credit - Corporate farmers, Farmer Producer Organisations/ Companies (FPOs)/(FPCs) of Individual Farmers, Partnership firms and Co-operatives of farmers engaged in Agriculture and Allied Activities

15. Loans for the following activities, subject to an aggregate limit of ₹4 crore per borrowing entity, will be eligible:

(1) Crop loans to farmers which will include traditional/non-traditional plantations and horticulture and loans for allied activities

(2) Medium and long-term loans for agriculture and allied activities (e.g., purchase of agricultural implements, technological solutions, machinery and developmental loans for allied activities)

(3) Loans for pre and post-harvest activities viz., spraying, harvesting, grading and transporting of their own farm produce

16. Loans up to ₹4 crore against pledge/hypothecation of agricultural produce (including warehouse receipts) for a period not exceeding 12 months against NWRs/eNWRs and up to ₹2.5 crore against warehouse receipts other than NWRs/eNWRs

17. Loans up to ₹10 crore per borrowing entity to FPOs/FPCs undertaking farming with assured marketing of their produce at a pre-determined price

18. Loans up to ₹10 crore for purchase of the produce of members directly engaged in agriculture and allied activities

A.3 Agriculture Infrastructure

19. Loans for agriculture infrastructure will be subject to an aggregate sanctioned limit of ₹100 crore per borrower from the banking system. An indicative list of activities is as below:

(1) Loans for construction of storage facilities (warehouse, market yards, godowns and silos) including cold storage units/cold storage chains designed to store agriculture produce/products, irrespective of their location

(2) Loans for soil conservation and watershed development

(3) Loans for plant tissue culture and agri-biotechnology, seed production, production of bio-pesticides, bio-fertilizer, and vermi composting

(4) Loans for construction of oil extraction/processing units for production of bio-fuels, their storage and distribution infrastructure along with loans to entrepreneurs for setting up Compressed Bio Gas (CBG) plants

Explanation: The aggregate sanctioned limit of ₹100 crore per borrower for Agriculture Infrastructure shall be computed on a facility-wise basis and shall be exclusive of borrower's other PSL/non-PSL exposures. For the loans to qualify as PSL, banks must assess and sanction separate limits specifically for Agriculture Infrastructure purposes. Banks shall, at the time of sanction/review, obtain a borrower declaration disclosing existing loans from other banks for the same activity and also ascertain the aggregate exposure position independently as per their internal policy, to ensure that the aggregate limit of ₹100 crore at the banking system level, is adhered to.

Note: For the limited purpose of this explanation, the meaning of 'banks' shall include scheduled commercial banks, small finance banks, urban co-operative banks, local area banks and regional rural banks

A.4 Ancillary Services

20. The following shall be eligible to be classified in this category:

(1) Loans for setting up of Agri-clinics and Agri-business centres

(2) Loans to Custom Service Units managed by individuals, institutions or organizations who maintain a fleet of tractors, bulldozers, well-boring equipment, threshers, combines, etc., and undertake farm work for farmers on contract basis

(3) Loans to Primary Agricultural Credit Societies (PACS), Farmers' Service Societies (FSS) and Large-sized Adivasi Multi-Purpose Societies (LAMPS) for on-lending to agriculture

(4) Loans up to ₹50 crore to Start-ups, as defined by Ministry of Commerce and Industry, Govt. of India, that are engaged in agriculture and allied services

(5) Loans for Food and Agro-processing up to an aggregate sanctioned limit of ₹100 crore per borrower from the banking system (eligible activities as given in Annex)

(6) Outstanding deposits with NABARD on account of priority sector shortfall. These outstanding deposits shall also be reckoned for the achievement of overall PSL target.

Explanation 1: The aggregate sanctioned limit of ₹100 crore per borrower for Food and Agro processing activities shall be computed on a facility-wise basis and shall be exclusive of borrower's other PSL/non-PSL exposures. For the loans to qualify as PSL, banks must assess and sanction limits specifically for Food & Agro Processing purposes. Banks shall, at the time of sanction/review, obtain a borrower declaration disclosing existing loans from other banks for the same activity and also ascertain the aggregate exposure position independently as per their internal policy, to ensure that the aggregate limit of ₹100 crore at the banking system level, is adhered to.

Note: For the limited purpose of this explanation, the meaning of 'banks' shall include scheduled commercial banks, small finance banks, urban co-operative banks, local area banks and regional rural banks.

Explanation 2 [paragraph 20 (5)]: As per Annex, transportation is an eligible activity under indicative list of permissible activities under Food Processing Sector. However, loans to transporters for purchasing commercial vehicles shall qualify under "Food & Agro-processing" category, only if the vehicles are used exclusively for transportation of food and agro-processed products or are types of vehicles specifically used for "Food & Agro-processing" e.g. cold storage trucks, vans etc. If the commercial vehicle is also used for transportation of products other than those related to food & agro processing, the loans shall not be eligible for classification under 'Food & Agro-processing' category. Such loans may, however, be classified under MSME, if the borrower is eligible for classification as MSME in terms of paragraph 22 of extant Master Direction.

A.5 Eligibility criteria for categorization as lending to Small and Marginal Farmers (SMFs)

21. For the purpose of computation of achievement of the sub-target, SMFs will include the following:

(1) Farmers with landholding of up to 1 hectare (Marginal Farmers)

(2) Farmers with a landholding of more than 1 hectare and up to 2 hectares (Small Farmers)

(3) Landless agricultural labourers, tenant farmers, oral lessees and share-croppers whose share of landholding is within the limits prescribed for SMFs

(4) Self Help Groups (SHGs) or Joint Liability Groups (JLGs), i.e., groups of individual SMFs directly engaged in agriculture and allied activities, provided banks maintain disaggregated data of such loans

(5) Loans up to ₹2.5 lakh to individuals solely engaged in allied activities without any accompanying land holding criteria

(6) Loans to FPOs/FPCs of individual farmers and co-operatives of farmers directly engaged in agriculture and allied activities where the land-holding share of SMFs is not less than 75 per cent, subject to loan limits prescribed in Section A.2 of Chapter III.

Explanation: In case of loans to partnership firms/ companies where the partners/directors hold agricultural land upto 2 hectares, the same shall not be eligible to be categorized under SMF.

B. Micro, Small and Medium Enterprises (MSMEs)

22. 'Micro, Small and Medium Enterprises' mean the enterprises as defined in the MSMED Act, 2006 as amended from time to time.

23. The above enterprises are required to register online on the Udyam Registration portal and obtain 'Udyam Registration Certificate'. For PSL purposes banks shall be guided by the classification recorded in the Udyam Registration Certificate (URC).

24. Retail and Wholesale trade are included as MSMEs for the limited purpose of priority sector lending classification and are allowed to be registered on Udyam Registration Portal.

25. The certificate issued on Udyam Assist Portal (UAP) to Informal Micro Enterprises (IMEs) shall be treated at par with Udyam Registration Certificate for the purpose of availing Priority Sector Lending benefits. IMEs with an Udyam Assist Certificate shall be treated as micro enterprises for the purpose of PSL classification.

26. All bank loans to MSMEs shall qualify for classification under priority sector lending.

27. Loans to Start-ups, as defined by Ministry of Commerce and Industry, Govt. of India, that conform to the definition of MSME, shall also be eligible to be classified under this category.

B.1 Factoring Transactions

28. 'With recourse' factoring transactions by banks which carry out the business of factoring departmentally wherever the 'assignor' is a Micro, Small or Medium Enterprise would be eligible for classification under MSME category on the reporting dates.

29. Factoring transactions pertaining to MSMEs taking place through the Trade Receivables Discounting System (TReDS) shall also be eligible for classification under priority sector.

B.2 Other Loans eligible to be classified under PSL in the MSME category

30. These include:

(1) All loans to units in the Khadi and Village Industries sector, which shall be categorised as lending to micro enterprises.

(2) Loans to entities involved in assisting the decentralized sector in the supply of inputs and marketing of output of artisans, village and cottage industries.

(3) Loans to co-operatives of producers in the decentralized sector viz., artisans, village and cottage industries.

(4) Overdraft to Pradhan Mantri Jan-Dhan Yojana (PMJDY) account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time, which shall be categorised as lending to Micro Enterprises.

(5) Outstanding deposits kept with SIDBI and MUDRA Ltd. on account of priority sector shortfall shall also be reckoned for the achievement of overall PSL target.

C. Education

31. Loans to individuals for educational purposes, including vocational courses, not exceeding ₹25 lakh will be considered as eligible for priority sector classification.

Explanation: While the sanctioned limit of an education loan shall in no case exceed ₹25 lakh for the loan to qualify as PSL, the entire outstanding amount of the loan - even if it exceeds the sanctioned limit for reasons such as moratorium on repayment during the study period - shall be eligible for classification under PSL.

D. Housing

32. Bank loans to Housing sector as per limits prescribed below are eligible for priority sector classification:

(1) Loans to individuals for purchase/construction of a dwelling unit per family subject to the following limits:

(Amount in ₹ lakh)

Category	Loan Limit	Maximum Cost of Dwelling Unit
Centres with population of 50 lakh and above	50	63
Centres with population of 10 lakh and above but below 50 lakh	45	57
Centres with population below 10 lakh	35	44

(2) Housing loans to banks' own employees will not be eligible for classification under the priority sector, irrespective of whether they are extended on commercial terms or at subsidised rates.

33. Loans for repairs to damaged dwelling units shall be eligible for priority sector classification subject to the following limits:

(Amount in ₹ lakh)

Category	Loan Limit	Maximum Cost of Dwelling Unit
Centres with population of 50 lakh and above	15	63
Centres with population of 10 lakh and above but below 50 lakh	12	57
Centres with population below 10 lakh	10	44

Explanation 1: For the loans to be eligible to be classified under the 'Housing' category of PSL, they should satisfy both the 'loan limit' and the 'maximum cost of dwelling unit' criteria.

Explanation 2: Banks may refer to the population at the level of 'Urban Agglomerations' (U.A.s)/ Towns as given in the Table "A-04" of the Census 2011 for determining adherence to the population-based classifications. For housing loans to properties situated in villages/rural areas (which are not part of the Table A-04 of the Census 2011), the loan limits as per "Centres with population below 10 lakh" may be adhered to.

34. Bank loans to any governmental agency for construction of dwelling units or for slum clearance and rehabilitation of slum dwellers subject to dwelling units with carpet area of not more than 60 sq.m.

35. Bank loans for affordable housing projects using at least 50 percent of FAR/FSI for dwelling units with carpet area of not more than 60 sq.m.

36. Outstanding deposits placed with NHB on account of priority sector shortfall shall also be reckoned for the achievement of overall PSL target.

E. Social Infrastructure

37. Bank loans to social infrastructure sector as per limits prescribed below are eligible for priority sector classification.

(1) Loans up to a limit of ₹8 crore per borrower for setting up schools, drinking water facilities and sanitation facilities including construction/refurbishment of household toilets and water improvements at household level, etc.

(2) Loans up to a limit of ₹12 crore per borrower for building health care facilities in Tier 2 to Tier 6 centres, as per the classification in Reserve Bank of India (Local Area Banks - Branch Authorisation) Directions, 2025.

F. Renewable Energy

38. Bank loans up to a limit of ₹35 crore to borrowers for renewable energy-based power generators and for renewable energy based public utilities, viz., street lighting systems, remote village electrification etc., will be eligible for priority sector classification. For individual households, the loan limit will be ₹10 lakh per borrower.

G. Others

39. The following loans up to the prescribed limits are eligible for priority sector classification:

(1) Microfinance loans provided directly by banks to individuals and individual members of SHGs/JLGs satisfying the criteria as prescribed in Reserve Bank of India (Local Area Banks – Credit Facilities) Directions, 2025

(2) Loans not exceeding ₹2.00 lakh provided by banks to SHG/JLG for activities other than agriculture or MSME, viz., loans for meeting social needs, construction or repair of house, construction of toilets or any viable common activity started by SHGs

(3) Loans to distressed persons (other than distressed farmers indebted to non-institutional lenders) not exceeding ₹1.00 lakh per borrower to prepay their debt to non-institutional lenders

(4) Loans sanctioned to State Sponsored Organisations for Scheduled Castes/ Scheduled Tribes for the specific purpose of purchase and supply of inputs and/or the marketing of the outputs of the beneficiaries of these organisations

(5) Loans up to ₹50 crore to Start-ups, as per definition of Ministry of Commerce and Industry, Govt. of India, that are engaged in activities other than agriculture or MSME

H. Weaker Sections

40. Priority sector loans to the following borrowers will be considered as lending to Weaker Sections (overlapping category):

(i)	Small and Marginal Farmers
(ii)	Artisans, village and cottage industries where individual credit limits do not exceed ₹2 lakh
(iii)	Beneficiaries under Government Sponsored Schemes such as National Rural Livelihood Mission (NRLM)and Self Employment Scheme for Rehabilitation of Manual Scavengers (SRMS)
(iv)	Scheduled Castes and Scheduled Tribes
(v)	Beneficiaries of Differential Rate of Interest (DRI) scheme
(vi)	Self Help Groups/Joint Liability Groups

(vii)	Individuals and individual members of SHGs/JLGs, availing microfinance loans satisfying criteria as prescribed in Reserve Bank of India (Local Area Banks – Credit Facilities) Directions, 2025
(viii)	Individual women beneficiaries up to ₹2 lakh per borrower
(ix)	Distressed farmers indebted to non-institutional lenders
(x)	Distressed persons other than farmers, with loan amount not exceeding ₹1 lakh per borrower to prepay their debt to non-institutional lenders
(xi)	Persons with disabilities
(xii)	Transgenders
(xiii)	Minority communities as may be notified by Government of India from time to time.

Explanation 1: For classification under 'Weaker Sections', the loans should first be eligible for classification under any of the eight PSL categories as per underlying activity.

Explanation 2: (items iv and xiii) Customer declaration in the application form shall suffice for classifying credit facilities to Minorities/SCs/STs as such. In the case of a partnership firm, if the majority of the partners belong to one or the other of the specified minority communities, advances granted to such partnership firms may be treated as advances granted to minority communities. Further, if the majority beneficial ownership in a partnership firm belongs to the minority community, then such lending can be classified as advances to the specified communities. A company has a separate legal entity and hence advances granted to it cannot be classified as advances to the specified minority communities.

41. Overdraft availed by PMJDY account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time may be classified under loans to Weaker Sections.

42. In States, where one of the minority communities notified is, in fact, in majority, item (xiii) will cover only the other notified minorities. These States/Union Territories are Punjab, Meghalaya, Mizoram, Nagaland, Lakshadweep and Jammu & Kashmir.

Chapter IV: Priority Sector Lending Certificates

A. Introduction and Purpose

43. The PSLC mechanism enables banks to achieve priority sector lending targets and sub-targets, in the event of shortfall, by purchasing notional fulfilment from banks with surplus PSL achievement, without any transfer of credit risk or underlying loan assets. The seller sells the fulfilment of priority sector obligations, and the buyer purchases the same. The scheme incentivises surplus banks; thereby enhancing lending to the categories under priority sector.

44. The net nominal value of the PSLCs issued and purchased shall be eligible for classification under the respective priority sector categories provided the underlying assets originated by banks are eligible to be classified as priority sector advances and fulfil the Reserve Bank of India guidelines on priority sector lending certificates.

Note: For the limited purpose of Chapter IV, the meaning of 'banks' shall include scheduled commercial banks, small finance banks, urban co-operative banks, local area banks and regional rural banks.

B. Eligible sellers/buyers

45. Banks who have originated PSL eligible category loans, shall be eligible to sell PSLCs, subject to such regulations as may be issued by the Reserve Bank.

46. Banks shall obtain registration for PSLC trading by submitting their applications through the PRAVAAH portal (PRAVAAH).

C. Types of PSLCs

47. Banks may issue the following four categories of PSLCs: PSLC–Agriculture, PSLC–SF/MF, PSLC–Micro Enterprises, and PSLC–General. Each category of certificates shall represent specific types of loans and count towards the achievement of specific targets/sub-targets as indicated hereunder:

S.No.	Type of PSLCs	Representing	Counting for
1.	PSLC - Agriculture	All eligible Agriculture loans except loans to SF/MF for which separate certificates are available	Achievement of agriculture sub-target and overall PSL target
2.	PSLC - SF/MF	All eligible loans to small/ marginal farmers	Achievement of SF/MF sub-target, Weaker

S.No.	Type of PSLCs	Representing	Counting for
			Sections sub-target, NCF sub-target, agriculture sub-target and overall PSL target
3.	PSLC - Micro Enterprises	All PSL Loans to Micro Enterprises	Achievement of micro-enterprise sub-target and overall PSL target
4.	PSLC - General	The residual priority sector loans i.e. other than loans to agriculture and micro enterprises for which separate certificates are available	Achievement of overall PSL target

48. Thus, a bank having shortfall in achievement of any sub-target (e.g. SF/MF, Micro), will have to buy the specific PSLC to achieve the target. However, if a bank is having shortfall in achievement of the overall target only, as applicable to it, may buy any of the available PSLCs.

Explanation: 'Export Credit' shall form a part of underlying assets against the PSLC - General. However, any bank issuing PSLC-General against 'Export Credit' shall ensure that the underlying 'Export Credit' portfolio is eligible for priority sector classification as per the criteria set for domestic commercial banks.

D. Issuance, Tenor, Lot Size, Fee and Settlement

49. Normally, PSLCs will be issued against the underlying assets. However, with the objective of developing a strong and vibrant market for PSLCs, a bank is permitted to issue PSLCs upto 50 percent of previous year's PSL achievement without having the underlying in its books. However, as on the reporting date, the bank must have met the priority sector target by way of the sum of outstanding priority sector lending portfolio and net of PSLCs issued and purchased. To the extent of shortfall in the achievement of target, banks may be required to invest in RIDF/other funds as hitherto.

Explanation: In case RBI, at a later date, as part of its supervisory process, de-classifies the underlying assets which had already been traded by the bank as PSLCs, from eligibility for PSL classification, such misclassification, shall be reduced from the achievement of PSLC seller bank only. There will be no reduction for the PSLC buyer,

even if the underlying asset of the traded PSLC gets misclassified on account of the above.

50. There will be no transfer of credit risk on the underlying as there is no transfer of tangible assets or cash flow.

51. All PSLCs shall be valid till the end of the FY i.e. March 31st and expire on the next day i.e. April 1st.

52. Trading of PSLC's and settlement of funds shall be traded through the e-Kuber portal of RBI.

53. PSLCs will be traded in standard lot sizes of ₹25 lakh and multiples thereof.

54. The buyer shall pay a fee to the seller which will be market determined.

E. Computation of PSL achievement

55. A bank's PSL achievement would be computed as the sum of outstanding priority sector loans, and the net nominal value of the PSLCs issued and purchased. Such computation shall be done separately for the sub targets applicable. The net position of PSLCs (PSLC Buy – PSLC Sell) has to be considered while reporting for the quarterly and annual priority sector returns.

F. Accounting and Disclosures

56. The nominal value of PSLC would represent the equivalent of the PSL that would get deducted from the PSL portfolio of the seller and added to the PSL portfolio of the buyer.

57. The fee paid for purchase of the PSLC would be treated as an 'Expense' and the fee received for the sale of PSLCs would be treated as 'Miscellaneous Income'.

58. Both seller and buyer shall report the amount of PSLCs (category-wise) sold and purchased during the year in the 'Disclosures to the Balance Sheet'.

Illustration

1. Bank A may sell PSLCs with a nominal value of ₹100 crore to Bank B on July 15, 2025. Bank B will reckon ₹100 crore towards its priority sector achievement as on the reporting dates of September 30, 2025, December 31, 2025 & March 31, 2026, while

Bank A will subtract the same from its achievement figures for the respective reporting dates. The PSLCs will expire on April 01, 2026.

2. Bank C may buy ₹100 crore PSLCs on March 30, 2026, from Bank D. Bank D will subtract ₹100 crore from its PSL reporting on March 31, 2026 while Bank C will reckon the same towards its achievement. The PSLCs will expire on April 01, 2026.

G. Operational Provisions (e-Kuber portal)

59. The PSLC market operates on all days except Saturdays, Sundays and holidays declared under The Negotiable Instruments Act, 1881 by the Government of Maharashtra. The normal trading hours shall be from 10 AM to 4:00 PM.

60. The trading platform matches the buy and sell offer by following the Rule of Lowest Sale offer to the Buy offer and then within that on FIFO basis.

Illustration

A buyer offered to pay 2 percent premium for a particular PSLC type and the same is available at 1.5 percent, 1.8 percent and 2 percent, the portal will first match with the sale deal at 1.5 percent and for any leftover units, it will then match with the sale offers of 1.8 percent and then 2 percent in that order, provided the buy offer is first in the queue (based on the timing of the placement of the buy offer).

61. The order matching shall be done on anonymous basis through the portal and the buyer/seller cannot select the counterparty. Partial matching shall happen depending on the matching of premium and availability of category-wise PSLC lots for sale and purchase.

62. There shall be a real time settlement of the matched premium. Accordingly, the respective current accounts of the participating banks with RBI will be debited/ credited to the extent of the matched premium.

63. No transaction charges/fees are applicable for usage of the PSLC module. The tax implications on account of trading in PSLCs may be determined by the banks in accordance with the applicable tax laws.

Chapter V: Miscellaneous

A. Monitoring of Priority Sector Lending Targets

64. To ensure continuous flow of credit to priority sectors, the compliance of banks will be monitored on a calendar quarter basis.

65. The data on priority sector advances shall be furnished by banks at quarterly and annual intervals as per the respective reporting format, within fifteen days and one month, respectively from the end of each quarter and financial year.

B. Non-achievement of Priority Sector Targets

66. Banks with shortfall in priority sector lending vis-à-vis the prescribed target/sub-targets shall be allocated amounts for contribution to funds maintained with NABARD/NHB/SIDBI/MUDRA Ltd., as decided by the Reserve Bank from time to time. Further, the terms and conditions of the funds shall be as decided by Reserve Bank of India.

67. While computing priority sector target achievement, shortfall/excess lending for each quarter of the financial year will be monitored separately. A simple average of all quarters will be arrived at and considered for computation of overall shortfall/excess at the end of the year. The same method will be followed for calculating the achievement of priority sector sub-targets.

Illustration:

Tables No.1 and 2 below illustrate the method followed for computation of shortfall/excess in priority sector target achievement at the end of the financial year

(Table 1)

Amount in ₹ crore

Quarter ended	PSL targets (A)	Priority Sector Amount Outstanding (B)	Shortfall/ Excess (B)-(A)
June	3,29,615	3,16,938	-12,677
September	3,08,826	3,11,945	3,119
December	3,17,694	3,19,291	1,597
March	3,24,560	3,21,347	-3,213
Total	12,80,695	12,69,521	-11,174
Average	3,20,174	3,17,380	-2,794

(Table 2)			
			Amount in ₹ crore
Quarter ended	PSL targets (A)	Priority Sector Amount Outstanding (B)	Shortfall/ Excess (B)-(A)
June	3,29,615	3,27,967	-1,648
September	3,08,826	3,12,378	3,552
December	3,17,694	3,27,225	9,531
March	3,24,560	3,21,315	-3,245
Total	12,80,695	12,88,885	8,190
Average	3,20,174	3,22,221	2,047

In the example given in Table - 1, the bank has overall shortfall of ₹2,794 crore at the end of the financial year. In Table – 2, the bank has overall excess of ₹2,047 crore at the end of the financial year. The same method will be followed for calculating the achievement of quarterly and yearly priority sector sub-targets.

68. The interest rates payable to banks for their contribution to RIDF and other funds shall be as follows:

S. No.	Shortfall in overall priority sector lending target	Deposit Rates
1	Less than 5 percentage points	Bank Rate minus 2 percentage points
2	5 and above, but less than 10 percentage points	Bank Rate minus 3 percentage points
3	10 percentage points and above	Bank Rate minus 4 percentage points

Further, in case of no shortfall in overall PSL target but shortfall in any sub-target, interest rate of Bank Rate minus 2 percentage points will apply.

69. The mis-classifications in PSL, if any, identified by the Reserve Bank's Department of Supervision (DoS) will be adjusted from the PSL achievement of the relevant year, to which the amount of misclassification pertains, and shortfall will be allocated to various funds in the subsequent years.

70. Non-achievement of priority sector targets and sub-targets will be taken into account while granting regulatory clearances/approvals for various purposes.

C. Common guidelines for Priority Sector Loans

71. Banks shall also comply with the following common guidelines for all categories of priority sector advances.

(1) **Rate of interest:** The rates of interest charged on loans shall be in accordance with the Reserve Bank of India (Local Area Banks – Interest Rates on Advances) Directions, 2025.

(2) **Service charges:** No loan related charges (including guarantee fees of credit guarantee schemes), and ad hoc service charges/inspection charges shall be levied on priority sector loan accounts up to ₹50,000. In the case of eligible priority sector loans to SHGs/JLGs, this limit will be applicable per member and not to the group as a whole.

(3) **Record of Receipt, Sanction/Rejection/Disbursement:** Record shall be maintained by the bank of the date of receipt, sanction, disbursement, rejection with reasons thereof, etc.

(4) **Acknowledgement of loan applications:** Banks shall provide acknowledgement of receipt of applications for priority sector loans. Bank's internal policy shall prescribe the time limit within which the bank communicates its decision in writing to the applicants.

(5) Banks shall ensure that loans categorised as priority sector lending are granted for approved purposes and the end use is monitored, by putting in place proper internal systems and controls.

Explanation 1: For example, in the case of crop loans under the agriculture/SMF category, banks shall maintain details such as the location of land under cultivation, crop details, hypothecation of crops (if any), and sanction of loans based on the scale of finance. Banks shall also maintain records of field visits by officials to monitor end use. In the case of landless labourers or sharecroppers—where land records/lease deeds are unavailable—banks shall ensure that alternative verifiable records are maintained to substantiate PSL eligibility. Banks should also ensure proper documentation, as per their internal policy, for classification of agricultural loans under PSL.

Explanation 2: Bank loans extended for agricultural activities do not become ineligible for priority sector classification merely because the underlying

collateral is in the form of gold jewellery or ornaments. Such loans should, however, be sanctioned based on the scale of finance and a proper assessment of credit requirements for the agricultural activity, and not solely based on type or value of collateral.

(6) Each priority sector loan shall be classified only in any one of the eight identified categories specified in paragraph 8 of these Master Directions.

Chapter VI – Exemptions, Repeal and Other Provisions

A. Exemptions

72. The Reserve Bank may, if it considers necessary for avoiding any hardship or for any other just and sufficient reason, grant extension of time to comply with or exempt any regulated entity, from all or any of the provisions of these Directions either generally or for any specified period, subject to such conditions as the Reserve Bank may prescribe.

B. Repeal and saving

73. With the issue of these Directions, the existing Directions, instructions, and guidelines relating to Priority Sector Lending – Targets and Classification as applicable to Local Area Banks stand repealed. The Directions, instructions and guidelines repealed prior to the issuance of these Directions shall continue to remain repealed.

74. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines, when such Directions, instructions, or guidelines were in force, shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these directions, instructions, or guidelines shall not in any way prejudicially affect:

(1) any right, obligation or liability acquired, accrued, or incurred thereunder;

(2) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder;

(3) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture or punishment may be imposed as if those directions, instructions, or guidelines had not been repealed.

C. Application of other laws not barred

75. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations, or directions, for the time being in force.

D. Interpretations

76. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the RBI may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the RBI shall be final and binding.

(Nisha Nambiar)
Chief General Manager-in-Charge

Annex

Indicative list of Permissible Activities under Food Processing Sector as shared by Ministry of Food Processing Industries (MoFPI)

1. Cleaning, Air Cooling (Field Heat Removal), Sorting, Grading/Sizing, Packaging, Warehousing, Distribution of Fruits & Vegetables etc.

2. Transportation including in refrigerated van/Cold Chain infrastructure system Packaging and storage including techniques like Silo, Hermetic storage; pest management.

3. Storage at low temperature/Cold Storage/Modified/Controlled Atmosphere packaging, Refrigeration/Chilling etc.

4. Primary and/or Minimal Processing of F&V: - Blanching (Vegetables), Peeling, Cutting, Storage, Distribution at Low temperature, vacuum packaging etc.

5. Sun Drying and Mechanical Drying: - Solar Drying, Hot air drying, Dehydration, hybrid drying, fluidized bed drying, refractive window drying, drum drying, radio frequency drying, Lyophilisation (Freeze Drying), Vacuum Drying, Spray Drying, De-hydro-freezing etc.

6. Preservation through various methods; both traditional and modern.

7. Frozen Products: Individually Quick Frozen (10F) of Fruit, Vegetables, Meat, Fish, Sea Foods etc.

8. Milk and Milk products processing, including their transportation, packaging and storage.

9. Canning of Fruit, Vegetables including Mushrooms, Meat, Fish, crustaceans, molluscs, other Sea Foods etc.

10. Milling Grains, Legumes & Pulses, Preparation of their by-products such as Bran Oil, Cattle Feed/Poultry feed etc.

11. Processing of F&V into different products such as juices, concentrates, sauces, jam, jellies, marmalades, Chips, Flakes, Powders etc.

12. Processing of Grains & Pulses, Fish, Meat, Poultry, Sea Foods, Egg etc. into their different products including extruded, popped, puffed and flaked products and their packaging and storage including fumigation, Smoking etc.

13. Oil seed Extraction- Rendering, Pressing, Hydrogenation, Refining with Extraction, Filling/packaging etc.

14. Spices, Seasoning and Condiments - Grinding, Crushing, Milling, Sieving, Mixing, Blending, Roasting, Packaging, Storage, Distribution.

15. Production of fermented Products and Alcoholic- Wines, Vinegar, Milk products, Prebiotics, Probiotics etc.

16. Production of beverages - Juices, RTS, Nectar, Squash, Cordial, Syrups/Sherbets, Soups, Carbonated Beverages etc.

17. Production of Cocoa, Coffee, Chicory and Tea Products; including Cocoa Butter, Cocoa Powder, Chocolates, wafers etc.

18. Production of Bakery and Confectionary Products - Biscuits, Bread, Cakes, Cookies, Toffee etc.

19. Production of Jaggery, Sugar, Khandasari etc from Sugarcane, Beet, Palm etc.

20. Production of apiary products (honey processing; both natural and artificial honey).

21. Production of Starch and Starch Products - Sago, Tapioca, Corn, Noodles, Macroni, Vermicelli etc,

22. Slaughtering of animals/ruminants/birds etc. and their processing.

23. Nuts Processing; coconut-based product processing such as water, nuts etc.

24. Processing of other products such as Instant Mixes, Ready to Eat (RTE) retort-based products, ready to cook and Beverages etc.

25. Nutraceutical products/functional foods/fortified food/enriched food preparation.

26. Production of Organic food products.

27. Processing of algal and fungal products (eg Spirulina, Mushrooms etc), including packaging and enhancement of shelf life.

28. Processing plantation crops, packaging, storage and enhancement of shelf life.

29. Production of food grade packaging material such as laminates, tetra packs, bottles, tin containers etc.

30. Food processing based on innovative/ emerging processing technique, health foods, speciality such as meat analogues, fermented proteins space foods, pet foods, and foods for people suffering from diabetes/ low bone density.

31. Machinery for food processing

32. Production and processing of extracts, essences & essential oils